(7)

IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

CP(CAA)/45(CHE)/2022 In CA CAA)/111/CHE/2021

Under Sections 230 to 232 of the Companies Act, 2013

FLUIDRA INDIA PRIVATE LIMITED
A Company incorporated under the Companies Act, 1956 having its registered office at Alexander Square, New No.2, Old No.34/35, Sardar Patel Road, Guindy, Chennai – 600 032

...Applicant/ Transferor Company -1

Along with

CP(CAA)/45(CHE)/2022 In CA (CAA)/107/CHE/2021

CERTIKIN SWIMMING POOL PRODUCTS INDIA PRIVATE LIMITED
A Company incorporated under the Companies Act, 1956 having its registered office at Alexander Square, New No.2, Old No.34/35, Sardar Patel Road, Guindy, Chennai – 600 032

... Applicant/ Transferor Company-2

Along with

CP(CAA)/45(CHE)/2022 In CA (CAA)/112/CHE/2021

ASTRAL (INDIA) PRIVATE LIMITED
A Company incorporated under the Companies Act, 1956 having its registered office at Alexander Square, New No.2, Old No.34/35, Sardar Patel Road, Guindy, Chennai – 600 032

...Applicant/Transferee Company

And

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Along with

MA/39 (CHE)/2022 IN CP(CAA)/45 (CHE)/2022

FLUIDRA INDIA PRIVATE LIMITED
A Company incorporated under the Companies Act, 1956 having its registered office at Alexander Square, New No.2, Old No.34/35, Sardar Patel Road, Guindy, Chennai – 600 032

... 1st Petitioner / Transferor Company 1

CERTIKIN SWIMMING POOL PRODUCTS INDIA PRIVATE LIMITED
A Company incorporated under the Companies Act, 1956 having its registered office at Alexander Square, New No.2, Old No.34/35, Sardar Patel Road, Guindy, Chennai – 600 032

... 2nd Petitioner / Transferor Company 2

Along with

ASTRAL (INDIA) PRIVATE LIMITED
A Company incorporated under the Companies Act, 1956 having its registered office at Alexander Square, New No.2, Old No.34/35, Sardar Patel Road, Guindy, Chennai – 600 032

... Respondent / Transferee Company

And

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

*Order Pronounced on **22nd March 2023***

CORAM

JUSTICE RAMALINGAM SUDHAKAR, Hon'ble PRESIDENT
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s): *Pawan Jhabakh, Advocate*

COMMON ORDER

Per: **SAMEER KAKAR, MEMBER (TECHNICAL)**

The hearing of this Company Petition has been conducted through video conferencing platform.

2. The present Joint Company Petition has been filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Amalgamation of **FLUIDRA INDIA PRIVATE LIMITED** (for brevity "Transferor Company 1"), **CERTIKIN SWIMMING POOL PRODUCTS INDIA PRIVATE LIMITED** (for brevity "Transferor Company 2"), with **ASTRAL (INDIA) PRIVATE LIMITED** (for brevity "Transferee Company") under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') (hereinafter referred to as the 'SCHEME') pursuant to the Scheme proposed by the Petitioner Companies and the said Scheme is also annexed at "**Annexure A8"** in respect of the Joint Company typeset of the Petition.

3. MA(CA)/39(CHE)/2022

3.1. MA(CA)/39(CHE)/2022 has been filed by the Petitioner Company wherein it has been stated that in the Scheme of Amalgamation which is filed along with the main

Company Petition there has been an inadvertent error with respect to the Authorised Share Capital, post amalgamation merger. The clause earlier has been reproduced below:

> *"The Authorised Share Capital of the Company is Rs. 3,40,00,000/- (Rupees Three Crore Forty Lakh Only) divided into 34,00,000 Equity shares of Rs. 10 each".*

3.2. The Revised clause in the scheme is reproduced as below:

> *"The Authorised Share Capital of the Company is Rs. 2,40,00,000/- (Rupees Two Crore Forty Lakh Only) divided into 24,00,000 Equity shares of Rs. 10 each".*

3.3. The revised clause as submitted in the revised scheme filed in the Type Set in MA(CA)/39(CHE)/2022 is taken on record. Accordingly, MA(CA)/39(CHE)/2022 stands allowed.

4. 1ST MOTION APPLICATION – IN BRIEF

4.1. The Transferor Companies and Transferee Company have filed the First Motion Application vide CA(CAA)/107, CA(CAA)/111 & 112/(CHE)/2021 seeking the following reliefs:

	EQUITY SHAREHOLDERS	SECURED CREDITORS	UNSECURED CREDITORS
TRANSFEROR COMPANY – 1	To dispense with	NIL	To dispense with
TRANSFEROR COMPANY – 2	To dispense with	NIL	To dispense with
TRANSFEREE COMPANY	To dispense with	NIL	To dispense with

4.2. Based on such application moved under Sections 230-232 of the Companies Act, 2013, directions were issued by this Tribunal, vide order dated 16.02.2022, to dispense the meetings of Equity Shareholders and the Unsecured Creditors of the Transferor Companies and the Transferee Company. It was represented that there are no Secured Creditors in respect of the Transferor Companies and the Transferee Company. Subsequently, the second motion petition was filed before this Tribunal by the petitioner companies on ***03.03.2022*** for sanction of the Scheme of Amalgamation by this Tribunal.

5. RATIONALE OF THE SCHEME

5.1. The rationale and benefits of the Scheme as submitted by the Learned Counsel for the Petitioner Companies would *inter alia* result in the following benefits;

a) The combined resources of the Transferee Company will be conducive to enhance its capabilities to face competition in the market place more effectively;

b) Result in improved shareholder value for the Companies by way of improved financial structure and cash flows, increased asset base and stronger consolidated revenue and profitability and higher net worth of combined entity;

c) Greater efficiency in cash management of the Transferee entity, and unfettered access to cash flow generated by the combined business which can be

deployed more efficiently to fund organic and inorganic growth opportunities, to maximize shareholder value;

d) Improved organizational capability and leadership, arising from the pooling of human capital who have diverse skills, talent and vast experience to compete successfully in an increasing competitive industry;

e) Administrative Convenience

6. In the second motion application filed by the Petitioner Companies, this Tribunal vide order dated 20.04.2022 directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region),Chennai (ii) RoC, Chennai, (iii) Official Liquidator (iv) Deputy Commissioner of Income Tax, and other sectoral regulators, who may govern the working of the respective companies, as well as for paper publication to be made in "Business Standard", English (All India Edition) and "Makkal Kural" Tamil (Tamil Nadu Edition).

7. In compliance to the said directions issued by this Tribunal, the Petitioner Companies have filed an affidavit of service before the Registry of this Tribunal on 08.07.2022 under SR No. 4171/2022 and a perusal of the same discloses that the Petitioner Companies have effected paper publications as directed by the Tribunal in "Business Standard" (All India Edition) in English and "Makkal Kural" (Tamil Nadu Edition) in Tamil on 01.06.2022. It is also seen that

notices have been also served by way of hand delivery to (i) Regional Director, Southern Region, Chennai on 20th May, 2022, (ii) Registrar of Companies, Chennai on 20th May, 2022, (iii) Official Liquidator on 20th May, 2022 (iv) Deputy Commissioner of Income Tax on 20th May, 2022, and the proof of the same by way of affidavits have been enclosed with the separate typed set. Pursuant to the service of notice of the petition the following statutory authorities have responded as follows:

8. STATUTORY AUTHORITIES

8.1. REGIONAL DIRECTOR

The Regional Director, Southern Region *(hereinafter referred to as 'RD')* Chennai has filed his Report dated before this Tribunal on 24.08.2022 and has stated in Para 3 of the RD Report as per Clause 1.2 of Part I of the Scheme provides that the Appointed date is 01.04.2020, which is ante-dated beyond a year and is not in accordance with Sec.232(6) of the Companies Act, 2013. It is prayed by the RD to direct the Company to revise the appointed date or may determine an Appointed Date as it deems fit.

8.1.1. It is further averred in para 7 of the RD Report that as per Section 9 of Part II of the Scheme has stated about

the protection of employees of the Transferor Companies. It is submitted that the employees of the Transferor Companies shall deemed to have become staff and employees of the Transferee Company with effect from the Appointed Date or date of joining, whichever is later without any break in their service and other benefits.

8.1.2. It is further averred in para 8 of the RD Report that Section 13 of Part II of the Scheme provides that the Transferee Company shall not issue and allot to the shareholders of the Transferor Company 1, equity shares, as it is a wholly owned subsidiary of the Transferee Company and the investments in shares of Transferor Company shall stand cancelled. As regards to Transferor Company 2, The transferee Company shall issue and allot 1 fully paid up shares of Rs. 10 each held by them in the Transferor Company-2, as consideration upon effectiveness of the Scheme.

8.1.3. It is further observed that as per para 9 of the RD report wherein it has been stated that Section 1 of Part III of the Scheme provides for clubbing of Authorized Share Capital as such Authorized Share Capital of the Transferor Company 1 & 2 shall stand altered and merged with the Authorized Share Capital of the Transferee Company. It is further averred

in the RD Report, that as per Clause V of the MOA of the Transferee Company shall be altered as the Authorized Share Capital of the Company shall be Rs. 2,40,00,000 divided into 24,00,000 equity shares of Rs. 10 each. It is prayed by the RD that the Hon'ble Tribunal may direct the Transferee Company to pay the difference in fee/stamp duty and also file the amended MOA and AOA with the Registrar of Companies in connection with the proposed increase of Authorised Share Capital.

8.1.4. It is further submitted that as per para 12 of the RD report that the report of the ROC, Chennai, the Transferor Companies 1 & 2 have filed their statutory returns upto 31.03.2021. It is further submitted that as per the Report of the ROC, Chennai, there are no prosecution/ complaint/ inspection pending against the Transferor Companies.

8.1.5. Thus, after examining the Scheme, except the observations made in para 3 & 9 of the RD Report, the Regional Director in their Report has stated that they have decided not to make any objection to the Scheme.

8.1.6. Based on the observations made in para 3 of the RD Report, the Board of Directors have resolved to revise the Appointed Date to 01.04.2022 instead of 01.04.2020. The

Board Resolution dated 08.11.2022 is submitted before this tribunal vide Additional Affidavit filed on 15.11.2022 under S.R No. 6059/2022. The said Affidavit filed by the Petitioner Companies is taken on record and accordingly, the Appointed Date of the Scheme shall be **01.04.2022.**

8.2. OFFICIAL LIQUIDATOR

In relation to the Official Liquidator, *(hereinafter referred to as 'OL')* to whom the notice was issued has filed the Report before this Tribunal on 12.08.2022 vide SR.No. 4969 has stated that they have appointed M/s. G. Mukundan & Co., Chartered Accountants from the panel maintained by their office to verify into the affairs of the Transferor Companies. The Chartered Accountants in their report submitted before the Official Liquidator have observed as follows;

- The Chartered Accountants have scrutinized the registers and records maintained at the registered office of the company. It is observed from the scrutiny/inspection that:
- The company is maintaining proper Books of Accounts as per the requirements of the Companies Act, 2013 and in accordance with generally accepted accounting principles.
- All the entries have been duly made in the statutory registers in accordance with the requirements of the Companies Act, 2013 and no discrepancies were noted.

- It is also observed from the records maintained at the Office of the Registrar of Companies, Chennai that the company has filed all the returns.
- Both the Transferor Companies are regular in complying with the Employee Provident Fund Act.
- The Company has not accepted deposits from the public as on date.
- Both the Transferor Companies have no unclaimed or unpaid dividend and hence the comments under Section 124 of the Companies Act, 2013 does not arise.
- Regarding Transferor Company 2, the consideration paid by the Transferee Company to the Equity Shareholders of Transferor Company 2 is 10.41 equity shares of Rs. 10 fully paid for every 1 share held in the Transferor Company 2. In their opinion, the payment consideration for amalgamation is fair and reasonable.

8.2.1. Further in Para 5 of the OL report it was submitted that on scrutiny of the records of the Transferor Companies, the Chartered Accountant have not come across any act of misfeasance by any person who took part in the promotion or formation of the company as well as in the conduct of the activities of both the Transferor Companies and also in the amalgamation with the Transferee Company of any past or present Directors, managers or offices of the Company attracting the provisions of Sections 339 and 340 of the Companies Act, 2013. On the basis of the above observations, the Chartered Accountants are of the opinion

that the affairs of both the Transferor Companies have not been conducted in a manner prejudicial to the interest of the members and to the public.

8.2.2. From the above observations made by the Chartered Accountant, the Official Liquidator sought to take on record and consider the report of the Chartered Accountant and has also sought to fix the remuneration payable to the Auditor who has investigated into the affairs of Transferor Company. In this regard, this Tribunal hereby directs the Transferor Companies (1 & 2) to pay a sum of ***₹75,000/- + GST (Rupees Seventy Five Thousand Only Plus GST)*** to the Official Liquidator for the payment of fees payable towards the Auditor who has investigated into the affairs of the Transferor Company.

8.3. OTHER STATUTORY AUTHORITIES

8.3.1. In relation to the other statutory authorities to whom notices have been issued, neither they have filed any reply nor raised any objections.

8.3.2. Despite notice having been served on 20.05.2022 and paper publication made on 01.06.2022 in Business Standard (All India Edition) in English and Makkal Kural (Tamil

Nadu Edition) in Tamil, there is no representation from the Department of Income Tax and this Tribunal in terms of Section 230(5) of the Companies Act, 2013 presumes that the Department of Income Tax does not have any objection to the sanction of the Scheme.

8.3.3. In Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi has made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

> *"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutory dues from the transferor or transferee or any other person who is liable for payment of such tax dues, the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."*

9. VALUATION REPORT

9.1. The Learned Counsel for the Petitioner Companies invited the attention of this Tribunal to the Valuation Report obtained from one Ramji Mahadevan, Registered Valuer dated 29.06.2020 wherein it has been recommended by the Registered Valuer as follows:

- ***The exchange ratio is 1:10.41 equity share, in other words, for every 10.41 Equity Shares of Rs.10 each fully paid up of CSPL, 1 Equity Share of ASPL of Rs.10 each will be exchanged.***
- *FIPL is a wholly owned subsidiary of AIPL, there is no separate shares valuation required for FIPL as it is captured in the valuation of AIPL.*

10. ACCOUNTING TREATMENT

10.1. The Learned Counsel for the Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and has certified that the Petitioner Companies have complied with proviso to Section 230 (7) / Section 232 (3) and the Accounting Treatment contained in the proposed Scheme of Arrangement is in compliance with the Applicable Indian Accounting Standards. The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of the Petitioner Companies are placed at ***"Annexure A10a", "Annexure A10b", and "Annexure***

A10c" of the Transferor Company 1, Transferor Company 2 and Transferee Company, respectively, in the typed set filed in CP(CAA)/45 (CHE)/2022.

11. OBSERVATIONS OF THIS TRIBUNAL

11.1. After analyzing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie* beneficial to the Company and will not be in any way detrimental to the interest of the shareholders of the Company. In view of the absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Amalgamation appended at **"Annexure A8"** in the typeset filed along with the Petition as well as the prayer made therein. The Revised Scheme of Amalgamation with the revised clause as mentioned in the MA(CA)/39(CHE)/2022 is appended as the Annexure to the Application.

11.2. The Learned Counsel for the Petitioner companies submitted that no investigation proceedings are pending against the Transferor or Transferee Companies under the

provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Tribunal or erstwhile Company Law Board.

11.3. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

11.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

12. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, right and interest of the Transferor Companies (1 & 2) shall, pursuant to section 232(3) of the Companies Act,2013 without further act or deed be

transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Companies (1 & 2) shall pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company.

(iii) That the Appointed date for the Scheme shall be **1st April, 2022** as mentioned in the Affidavit dated 07.11.2022 filed under SR No. 6059 on 15.11.2022.

(iv) That the Transferor Company – 1 is a wholly owned subsidiary of the Transferee Company and hence there shall be no issues of shares post amalgamation.

(v) That the Transferee Company do without further application allot to such members of the Transferor Company 2, as have not given such notice of dissent, as is required by ***Section 13 of Part III*** of the SCHEME herein the shares in the Transferee Company to which they are entitled under the said SCHEME.

(vi) That all proceedings now pending by or against the Transferor Companies (1 & 2) be continued by or against the Transferee Company.

(vii) That all the employees of the Transferor Companies (1 & 2) in service on date immediately preceding the date on which the Scheme finally takes effect shall become

the employees of the Transferee Company without any break or interruption in their service.

(viii) That the Transferee Company shall file the revised Memorandum and Articles of Association with the Registrar of Companies, Chennai and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Companies (1 & 2).

(ix) That Section 14 of Part III of the scheme deals with change of the name of Transferee Company post amalgamation. The Transferee Company is directed to take necessary steps and comply with the procedure for name change in accordance to the Companies Act, 2013 and the attendant rules and regulations.

(x) That the Transferor Companies (1 & 2) and the Transferee Company, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Companies (1 & 2) shall be dissolved without winding up and the Registrar of Companies shall place all documents relating to the Transferor Companies (1 & 2) registered with him on the file kept by him in relation to all the Transferee Company and the files relating to the said company shall be consolidated accordingly.

(xi) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

13. Accordingly, the Company Petitions stands **allowed** on the aforementioned terms.

-Sd-

SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-

JUSTICE RAMALINGAM SUDHAKAR
PRESIDENT

SriramAnanth.V